China bets on AI to pump trillions into economy amid national computing push

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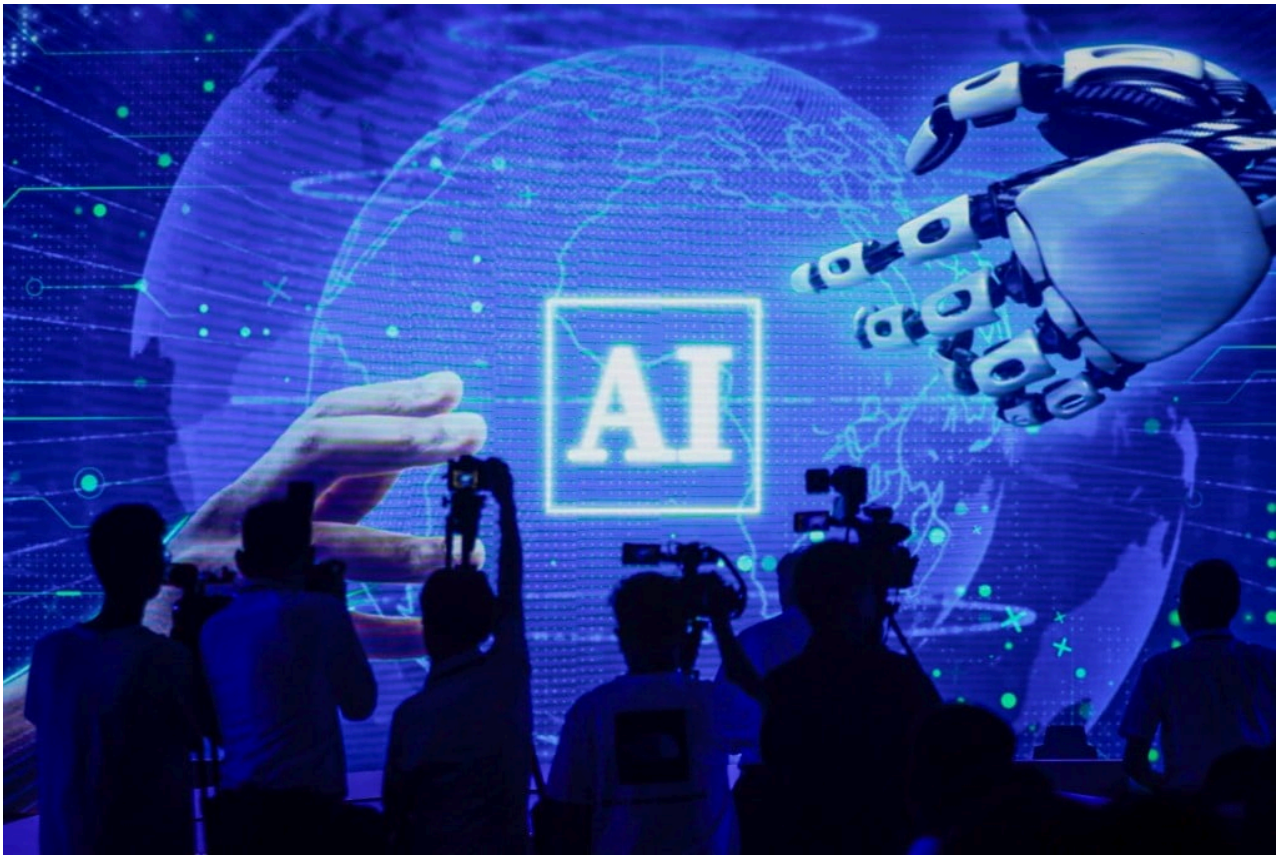
Luna Sun August 25, 2025



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With artificial intelligence a critical battleground in the China-US rivalry, a national computing network has already signed up more than 100 AI models

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China is banking on artificial intelligence (AI) to become a new growth engine, and there are projections that it could add several trillion yuan to the economy by 2035 amid a national push for computing power and a unified data market.

Beijing is knitting together a national computing network. At the China Computing Power Conference held in Datong, Shanxi province, over the weekend, officials announced that 10 provinces and municipalities – from Shanghai and Zhejiang in the east to Qinghai and Xinjiang in the west – had joined a unified platform designed to match business demand with underused resources across regions.

State broadcaster CCTV said the platform had already signed up more than 100 service providers, 1,000 industry users and nearly 100 AI models.

The country has invested heavily in expanding computing power over the past five years, and its smart computing power is projected to grow by 43 per cent this year, according to an AI-computing-power assessment report published earlier this year by the International Data Corporation and Inspur Information.

The country has been pouring money into data centres and chips in recent years amid a self-reliance push, with overall computing capacity expanding by about 30 per cent annually.

> AI could contribute more than 11 trillion yuan to China's GDP by 2035
>
> Rao Shaoyang, China Telecom Research Institute

From 2023 to 2028, China's smart computing power is expected to grow at a compound annual rate of 46.2 per cent, compared with 18.8 per cent for general-purpose computing power, according to the report.

Rao Shaoyang, director at the China Telecom Research Institute, said at the conference that "AI could contribute more than 11 trillion yuan (US$1.58 trillion) to China's GDP by 2035 – about 4 to 5 per cent of output – and drive a tenfold, or even hundredfold, increase in demand for computing power", according to CCTV.

AI has become a critical battleground in the rivalry between China and the United States, with Washington moving to rein in Beijing's rising capabilities.

Last month, the White House unveiled its first comprehensive AI strategy since US President Donald Trump's return to office in January, detailing plans to tighten export controls on US chipmaking tools and curb the global spread of Chinese AI models – just days after allowing Nvidia and AMD to resume exports of some advanced AI chips to China.
Earlier this year, China's home-grown DeepSeek AI company jolted the tech world with a low-cost, high-performance large language model that rivalled – or even surpassed –

America’s ChatGPT in some respects, forcing a rethink of China’s competitiveness in the global AI race.